

Speaking of risk, I mentioned this anecdote in [Chapter 37](#), but it bears repeating. Joe Campbell had \$37,000 in his brokerage and bet a \$2 biotech stock would fall further. The next day, the stock surged to \$16, wiping out his account and resulting in the brokerage handing him a bill for an additional \$106,000. Think about that the next time you short a stock.

Pullbacks. Pullbacks happen just over half the time. They must occur within a month of the breakout by definition.

A pullback sees the stock return to the breakout price, often in about a week, before (sometimes) resuming the downward trend. The table shows details about the depth and speed of the pullback. If you're an experienced trader, you may be able to short at the breakout and set an order to cover in a week at about 10% below the current price.

Pay attention to how often price resumes trending lower. To flip the numbers around, we see that up to 70% of the time, the stock will continue *rising* after a pullback completes. In other words, the low found during a pullback becomes the ultimate low.

Gaps. The last section of the table concerns breakout day gaps. The appearance of a gap on the breakout day suggests better performance. That's frequently (but not always) the case for various types of chart patterns.

Fortunately, you don't have to be in the stock to take advantage of a gap. I measured performance from the opening price the day *after* the gap to the ultimate low, so you can buy the stock later to participate in the performance.

With a V-top and a mechanical location of the breakout (set at a 38.2% retrace) it's difficult to justify that a gap appearing on the breakout day has any real significance. However, I think what the numbers are saying is that a gap shows selling enthusiasm and that enthusiasm translates into a larger decline than if a gap did not occur. To put it another way, price that gaps a lot during a downtrend in a stock probably tumbles further than a stock not showing a gap (but I haven't tested this notion).

[Table 71.5](#) lists statistics related to the height and width of the V-top.